

Plug and Play, or Still Plugging In?

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Pakistan markets its Special Economic Zones as plug and play platforms for Chinese manufacturers looking to relocate. The proposition has held steady for nearly a decade; implementation has not kept pace with it. This insight asks the question a manufacturer actually faces when deciding where to build: how far have the zones moved from designation into verifiable production, and what does that record imply for the much larger pipeline now being promoted under the second phase of CPEC? It answers by auditing the four priority zones against four distinct stages, and finds that the public record thins out sharply at the only stage that decides whether a factory can open and start production.

Context

A Special Economic Zone passes through four stages that official reporting routinely collapses into the single word operational. **Approval** is legal designation. **Infrastructure development** is land serviced with power, water, road and customs access. **Plot allotment** is land assigned to named firms. **Production** is factories running. These are not interchangeable measures, and the gap between them is not a technicality: a zone can be lawfully established and physically developed while holding a very small base of operating factories. The distinction between the four is the organising question of this insight, because it separates a site an investor can visit from a site an investor can produce in.

The industrial cornerstone of CPEC was 9 Special Economic Zones, 7 provincial and 2 federal. The CPEC Secretariat confirms that 4 priority zones are at an advanced stage of development: Rashakai in Khyber Pakhtunkhwa, Allama Iqbal Industrial City in Punjab, Dhabeji in Sindh, and Bostan in Balochistan.¹ The intended model combines designated land with infrastructure, fiscal incentives and investor facilitation in order to support industrial development and attract local and foreign investment.

That original set is no longer the whole picture. In January 2026 the Government of Pakistan reported that the number of approved SEZs had increased from 7 to 44, with 37 new SEZs notified through a process led by the Board of Investment.² The analysis below therefore does two things: it takes each of the 4 priority zones and asks how far

up the four stages the public record can actually carry it, and it asks what the expanded pipeline figure can and cannot be taken to mean.

Analysis

Rashakai covers about 1,000 acres, with a first phase of 247 acres developed and opened for investment. The CPEC Secretariat reports that numerous enterprises have been registered, while some have started construction of industrial units.³ Registration places Rashakai at stage three, and construction brings it to the threshold of stage four. How far across that threshold the zone has moved cannot be established, because the CPEC Secretariat quantifies neither the enterprises that have begun building nor those already producing.

Allama Iqbal Industrial City is much larger, at about 3,217 acres in the CPEC project record, with development beginning in 2019. The official project page reports that national and international enterprises have been allotted plots, with some companies constructing industrial units.⁴ This is the one zone of the four that can be independently assessed, because its developer publishes a layout. Reading the Faisalabad Industrial Estate Development and Management Company layout dated 2026, there are 27 plots in production and 107 under construction, alongside vacant, newly saleable and undeveloped land.⁵ That is the count derived from a published plan rather than a figure the developer reports, and with that caveat stated, it remains the single most concrete piece of evidence available on industrial activity in any CPEC zone.

Dhabeji shows why the infrastructure stage is not a formality. The CPEC Secretariat records a 1,530-acre zone, a concession agreement in 2022 and groundbreaking in 2023, with development still in progress.⁶ The Sindh Economic Zones Management Company tender listings show continuing procurement for utility work at the zone, including water infrastructure.⁷ Dhabeji therefore sits at stage two. For an investor the designated site is only one part of the decision; reliable electricity, water, roads, customs access and other services determine whether production can begin on a predictable timetable.

Bostan presents the same distinction in a different form. The CPEC Secretariat states that the zone received SEZ status in 2020, that development work on phase one covering 200 acres has been

completed, and that phase one has been launched for allotment of industrial plots.⁸ That is a completed development milestone and an allotment process beginning, with no disclosed occupancy or production. This is not an argument that the zone lacks industrial potential. It is an argument that the evidence available to an outside investor stops at stage three.

Table 1. The public record thins out at the production stage.

Stage	Rashakai	Allama Iqbal	Dhabeji	Bostan
1. Approved	Yes	Yes	Yes, 2020	Yes, 2020
2. Infrastructure developed	Phase 1, 247 of about 1,000 acres	About 3,217 acres, from 2019	In progress, 1,530 acres	Phase 1, 200 acres complete
3. Plots allotted	Enterprises registered	Plots allotted	Not reported	Launched for allotment
4. In production	Some units under construction	27 producing, 107 under construction	Not reported	Not reported

Source: CPEC Secretariat project records for each zone, and the FIEDMC layout plan for Allama Iqbal Industrial City. The Allama Iqbal production and construction figures are a count from that published layout, not a developer disclosure. Not reported means the measure is absent from the public record, not that the activity is absent.

Read across the bottom row rather than down the columns. Across 4 zones and roughly 6,000 acres of designated land, only 27 sites are operational. That is the audit result, and it is the gap between what the zones are marketed as and what can be verified about them.

The expanded pipeline figure needs handling with the same care, and the reason is instructive. This insight opened with 9 CPEC zones, 7 provincial and 2 federal; the January 2026 announcement counts 7 rising to 44. The announcement does not define its baseline, and neither the government release nor the press reporting of it states whether the count covers CPEC zones alone or all zones approved under the Special Economic Zones Act, how many of the 44 are notified as against developed or operational, or how the 37 new zones are classified.² This insight therefore reads 44 as a count of stage one approvals, and draws no inference from it about stages two, three or four.

The ambiguity is itself a finding. A headline that cannot be decomposed into stages is the reporting problem this insight describes, appearing in the very announcement intended to

demonstrate progress. The scale of the expansion makes consistent reporting standards more important, not less. If each new zone is to compete for capital against the others, and against sites in Vietnam, Bangladesh and Indonesia, investors need comparable information on land, utilities, plots, construction and actual production. A pipeline that grows sixfold while its reporting stays at stage one widens the very gap that deters the capital it is meant to attract.

Implications

For a Chinese manufacturer evaluating Pakistan against alternative relocation destinations, official SEZ status should not be treated as a proxy for operational readiness. The more useful test is whether the prospective site can demonstrate usable infrastructure, clear land availability, access to essential services and evidence of existing industrial activity. The current official record shows progress in all 4 priority zones; it also shows that development and utilisation remain different measures.

There is also an information cost, and it falls on the investor. When zone level occupancy, utility and production data are not published in comparable form, a firm must spend its own time and money verifying what a government designation means on the ground, before it can even begin to compare sites. The World Bank assessment of SEZs in Pakistan made the underlying point some years ago: zone performance depends on the quality of infrastructure, institutions, regulations and management rather than on designation alone.⁹

This matters more as the pipeline expands. The Board of Investment presents SEZs within a broader framework of investment facilitation, incentives and industrial development, while the CPEC platform continues to identify the 4 priority zones as central projects.^{10,1} A larger pipeline can create greater choice for investors, but it also raises the risk that administrative capacity and infrastructure funding are spread too thinly if performance is not monitored systematically.

The Way Forward

Two measures would materially strengthen the credibility of the SEZ programme. First, provincial investment authorities and the CPEC Secretariat should publish zone level operational dashboards at fixed

intervals, reporting plots allotted, plots with construction underway, plots with producing tenants, electricity and water connections, road access and customs facilitation. The institutional machinery for this already exists in part: an approval committee for SEZs meets and publishes records of its proceedings.¹¹ What those records document is approvals, which is stage one. Extending the same publishing discipline to stages two through four would turn the investor proposition from a collection of announcements into a comparable evidence base, and would cost far less than the infrastructure already committed.

Second, companies considering the new SEZ pipeline should benchmark each proposed site against the most concrete evidence available from the existing zones, which at the moment means the Allama Iqbal layout. The relevant questions are whether infrastructure is functioning, whether a plot can be taken into production on a defined timetable and whether the local administrative system can resolve routine operational issues. Pakistan does not need more promotional language to establish the attractiveness of its SEZ model. It needs a transparent, repeatable way to demonstrate that an announced industrial platform can actually support production.

A Note on Method and Limitations

This insight relies on the CPEC Secretariat project record for each of the 4 priority zones, one developer layout plan, two government press releases, and one World Bank assessment. Three limitations are material. First, the Allama Iqbal plot counts are a reading of a published layout plan rather than a figure the developer reports, and a layout plan records intended status at a point in time. Second, the Sindh Economic Zones Management Company reference points to a live tender listing rather than a dated document, so it evidences continuing procurement activity at Dhabeji but cannot be pinned to a specific contract or date. Third, no zone publishes occupancy or production data in comparable form, so the production row of Table 1 cannot be completed from public sources for three of the four zones. That absence is the finding of this insight rather than a gap in its research, but it does mean the audit establishes what can be verified rather than what is true.

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